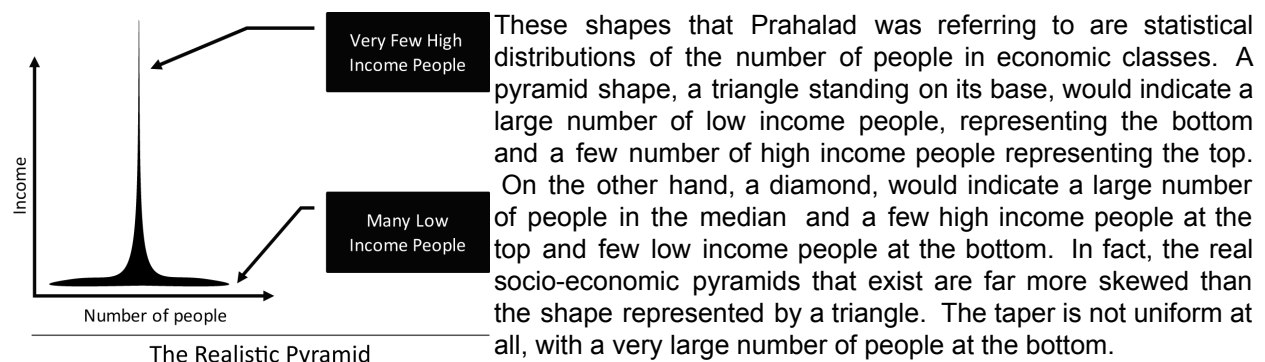
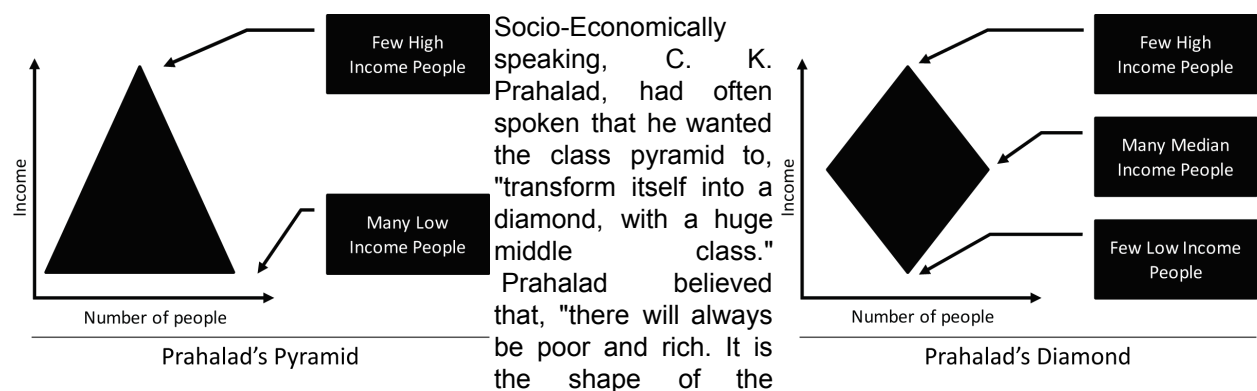


Parsing Prahalad's Pyramid

On a visit to Dubai in April 2010, I saw myself staring in awe at the most modern marvel of mankind. The Burj Khalifa stood as the tallest building in the world, dwarfing over other tall buildings around the world who once held that distinction. In the deserts of the west Asia, the Burj, with its uniformly tapering geometry, was as impressive as another marvel from a distant time but from a place not so far. The Burj in a way is a steeper version of the pyramids of Egypt, and like them stares straight directly into the skies above. This twenty first century pyramid in the desert is a spectacular piece of construction.

Thinking of pyramids, my mind had wandered to pyramids of a different kind, because of C. K. Prahalad's recent demise. Prahalad, a globally known strategy consultant, had written a revolutionary book titled "Fortune at the bottom of the Pyramid." While Prahalad was referring to the socio-economic pyramids, I wondered if these two different types pyramids had something in common.

As I craned my neck to look up, I was tempted to pay the 400 dirhams to take the elevator to the top of the Burj. Perhaps the view from the top would have been breathtaking, and less straining on the neck. Yet, I felt compelled to stay at the bottom of this modern pyramid. I looked around at other onlookers, who were also unwilling to pay the 400 dirhams, wondering if C. K. Prahalad would have considered these collective savings to be a fortune as well.



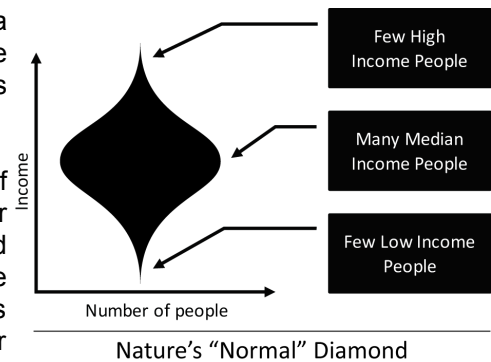
Prahalad's desire to reshape the pyramid, indicated that he was not satisfied with the existing

¹[\[http://blogs.hbr.org/fox/2010/04/the-ck-prahalad-fortune-at-the.html\]](http://blogs.hbr.org/fox/2010/04/the-ck-prahalad-fortune-at-the.html)

socio-economic pyramid. Perhaps, because, if economic success were correlated to the bell curve of normal distribution of individual ability, mathematically one could rearrange the data, and what would emerge is a diamond like shape.

A naturally occurring normal distribution lends itself to a diamond, yet, what would explain the missing diamond in the world today? What are the factors that would counter nature's diamond?

Is it possible that the same factors also lead to the creation of several other categories of pyramids? The financial pyramid, for example, popularly presented as a Ponzi scheme, is a pyramid in its simplest form. As this effort shows in a later section, one could derive the model and calculate the optimal point for its collapse. Physical pyramids are like Giza or the Burj or other marvels of construction. Are they a result of a similarly skewed system as well? The Socio-economic pyramids are those that Prahalad was referring to. What are the factors that lead to the socio economic pyramids? Could modern financial instruments also represent a pyramidal structure? Does the pyramid also manifest itself in modern political structures as well?

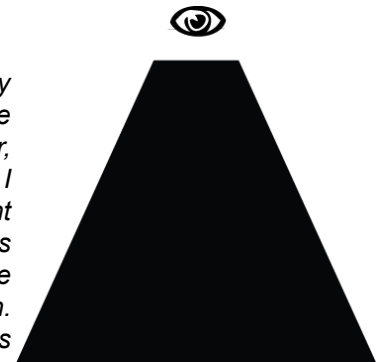


In Prahalad's pyramid, innovation is the key to change. The incentives to innovate, in a way, come from the metaphorical craning of the neck. The desire to *do* better. To *be* better. To dream of a better tomorrow, and then rise to the next level, and then the next and so on. Is that not how one defines success that leads to progress?

Or is it possible that this paradigm of progress poses a paradox? Like a pyramid or Ponzi scheme, could "progress" be a pernicious pyramid that also periodically perishes?

To study these shape shifting pyramids, it is important to understand what the view from the top of the pyramid would look like.

A few weeks later, on another trip to Dubai, with prior reservations made by a friend, I was able to take the elevator to the observation area for a more affordable 100 dirhams. The view, expectedly, was astounding. However, the neck remained craned, but this time I was looking down and around. I felt like I could observe all of Dubai from that one location. A single point that could watch over the entire city. A panopticon!² A design that allows all parts to be visible from a single point. A pyramid is governed by the rule of law with centralized hierarchical mechanisms, authority and execution. An uncanny similarity to existing political systems that the world has adopted.



Although Prahalad desired the diamond over the pyramid, the question is what makes a diamond

²An architectural form for a prison, the drawings for which were published by Jeremy Bentham in 1791. It consisted of a circular, glass-roofed, tank

like structure with cells along the external wall facing toward a central rotunda; guards stationed in the rotunda could keep all the inmates in the surrounding cells under constant surveillance. Although Bentham's novel idea was not fully adopted in the plans for penal institutions built at that time, its radial plan was immediately influential, and its design clearly had an impact on later construction. For example, the Stateville Correctional Center, a prison near Joliet, Ill., U.S., incorporates essential features of the panopticon.

"better?" Is it because a diamond echoes the naturally occurring and intuitive normal distribution? Several popular political models claim to reshape these pyramids. Most of the names of these political models end with some sort of an "ism" and are trapped in the "left" versus "right" linearity. Yet, these models have left the pyramids unscathed.

However, although the collapse of the pyramid is inevitable, what would could take its place after its collapse is unknown. Is the growth of another pyramid inevitable or is it possible to parse Prahalad's pyramid and design an alternative to bring back the balance?

Bringing Back the Balance

Having studied at the Ross School of Business at Ann Arbor, Michigan in the 1990s (before it became the Ross School), I was fortunate to have heard Prahalad speak several times on different subjects. From what I had heard in his lectures and knew of Prahalad, I am confident that he would have eventually figured out the solution to the problem of reshaping the pyramid. Other than his keen intellect, there was something else in his background that would have been an enabler: Coimbatore Krishnarao Prahalad, as most readers would know, was Indian. As other Indians are osmotically aware, he would have also discovered, that the solution that he was seeking, was right there all along, staring at us, in our faces.

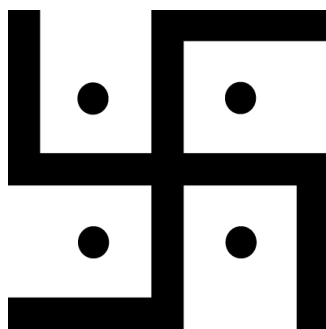
Nearly everyone has seen it. Some have seen it drawn on some wall of nearly every other home in India.

On patterns of beautiful saris and fabrics. On the seals found in the ancient towns along the dried basins of Saraswati and along the Sindhu. On rangoli's during Diwali and other festivals. Its popularity in India remains undiminished by its unfortunate association with a European mass murderer. Although, its real power, for now, remains obscured, untenable, unimagined and unmanifested; as Indians stand today, in awe of and in reverence to the picture perfect pyramids. In the ultimate seduction, modern India is captivated by the illusory beauty of these pyramids.

Prahalad's search for the solution to make a diamond out of pyramid presents a paradox, because its beauty is blinding, thus feeding into the perception that the pyramid is inevitable. One can accept the beauty of the Pyramid, its grandeur, its finesse, its geometry, and its power of seduction; however, neither the permanence nor the proliferation of the pyramid in itself is inevitable.

The "solution" as this effort argues, has probably been in existence for thousands of years within the Indic framework, and is completely orthogonal to the Pyramid. This effort is not a study of Indic history, but a theoretical framework that is based on what would be considered common knowledge. Therefore the qualifier "probably", as it makes no claims about the historical prevalence of such a polity. The answer lies in a symbol, whose Sanskrit name simply means "well being."

This pyramid buster, as some readers would have already guessed, is the Swastika.



In this interpretation of the model, the Swastika, makes no claims on the shapes or distribution of the resulting system which is transformed to a state of "well being." However, it does offer a simple mechanism for creating a self-sustaining model that is not overawed by the pyramid, and can demonstrate potential to present alternative distributions, possibly even diamond shaped. It represents a composite polity that creates barriers to prevent the varying kinds of pyramids from being created or expanded. While the pyramid's geometric elegance is in its reflective symmetry, the Swastika is no match, only offering rotational symmetry. However, within this rotational symmetry, the Swastika has the potential to preempt all sorts of pyramids - physical, economical, fiscal, social, political and even the progressivist

pyramid.

The beauty of the pyramids is no accident. In fact, this paper presents arguments that shows how and why the pyramid is, in its quintessential nature, not only impressive but also enticing, elegant and efficient. These are the characteristics that the cheerleaders for the pyramid would appreciate. The Swastika on the other hand, forces selective inefficiencies on the system through its rotational symmetry.

One cannot imagine that there could be many Swastika believers today; yet, the presumption is that there are several within India, who would be inclined to respect and therefore understand the Swastika, and hopefully this effort provides them an important insight. Perhaps, Prahalad would have been in this category of people, who would have subscribed to the Swastika model as well. The real battle will begin when the cheerleaders for the Pyramid turn into Swastika fans. In fact - human history, as is captured in its unique unbroken continuity within Indic thought, shows several such battles through the millennia.

In today's context, a big question then emerges. Is the Swastika "liberal" or "conservative?" Is it "leftist" or "rightist?" Is it "communist" or "capitalist?" If the reader has been attempting to position the Swastika model somewhere along the left versus right linear paradigm, the following description, hopefully, will put an end to that speculation.

The swastika does not force any transfer of wealth, and promises neither a "classless society" nor does it claim that the "meek shall inherit the earth." Moreover, to the possible disappointment of libertarians or believers of "Austrian" economics, it views the phrase "free market capitalism" as an oxymoron. This is because, the Swastika model will argue that real free markets and capitalism run counter to each other. Those caught in this linear framework might find these claims contradictory and paradoxical.

These paradoxes emerge from the progressivist paradigms that are unable to reconcile the gap between the promise of a glorious future that is linearly projected and the stark reality of the present that defies that projection. The Swastika, on the other hand, has no such grand illusions about the future, nor does it view the present and past linearly. The Swastika is orthogonal to these models, therefore making these illusory paradoxes irrelevant.

The Swastika would view, both the "left" and the "right," or "communism" and "capitalism" as near-identical forms. Each representing a false promise that seductively leads to the entry into the shape shifting pyramids. The Swastika, represents a system that is multi-dimensional and orthogonal to the linear great divide of the left versus the right.

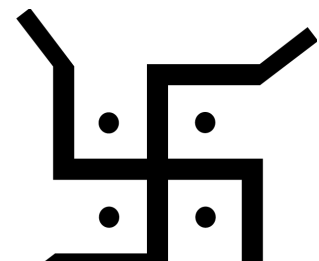
The question then is, if the Swastika makes no promises that both sides of the great divide offer, creates barriers to systemic efficiencies, and makes no grand forecast of the meek inheriting the earth, why would one cheer for it in the first place?

The answer is surprisingly simple.

The pyramid in its quintessential beauty, as this paper argues, comes at a price. The pyramid takes away something that most would cherish, and desire, often very deeply. No amount of beauty, or collective efficacy or grandness can ever replace something, that in essence, is immeasurable in its value to the individual.

The Swastika replaces systemic efficiencies with individual efficiencies. The Swastika brings "balance" and "well being" by restoring what the Pyramid takes away from an individual: Freedom!

The Swastika proposes a structure that addresses the core characteristics of a governance framework. A structure for defining the role and distribution of



power in the context of Monetary, Fiscal, Trade, Commerce, Military and Judiciary functions. It proposes a framework that can provide Political, Economic and Personal to an individual. And as a bonus, in addition to this triad of freedom, the Swastika can also provide relief from the pain in the neck that is a result of that craning associated with the pyramid. Both real and metaphorical.

The world today, collectively stands staring up at the perfect pyramid, as it probably has stood several times in the past. Billions of people at the bottom, all craning their necks looking up at the surreal magnificence of the temporal pyramid. However, as in the past, this pyramid as well, as it is in the nature of all pyramid schemes, will also collapse. There is an inevitability in the collapse of the pyramid. The question is when, not if.

The question is, will the Swastika be ready this time as well, when this illusory pyramid does indeed collapse?

The real question is will India be ready?

In this model, manufacturing forms the foundation of an industrial economy. Individual manufacturers thus become the wheels on which the rest of the industrial economy rests. In the subsequent value chain, trade and transport form the next structural elements of the economy. These are three distinct functions and the balance of power between these functions. This represents the structure of the economy and needs to be defended against external forces by the military.

Bringing Back the Balance

<http://books.google.com/books?id=JcXO8GLMd2sC&pg=PA56#v=onepage&q&f=false>

[While these spatial or statistical pyramids are naturally occurring, a similar pattern is expressed by those who subscribe to evolutionary synthesis, where a pyramid of sorts is expressed transiently, naturally deselecting those at the bottom of the evolutionary pyramid.]

It would counter the creation of physical pyramids like the Giza, the Burj and other modern marvels. The swastika would prevent pyramid and ponzi-schemes as well as economic bubbles from being manifested.

When in place, the swastika can even make socio-economic pyramids irrelevant. The Swastika model, will be abhorred by those who are trapped within one or more of these pyramids.

End of the world fears

“Climate change” or “population explosion” are modern versions of the Malthusian panic.

I mock all these “end of the world” fears with equal equanimity.

These panics emerge out of the progressivist linear paradigms that are unable to reconcile the gaps between the promise of a glorious future and the reality of the present that defies it.

Indic ideology, on the other hand, has no such grand illusions about the future, nor does it view the present and past in a linear fashion.

As long as you remain trapped within the paradox of this framework you will have difficulty understanding this argument.

The inevitability of the collapse of the pyramid, perhaps even subconsciously, is understood by most people - although the reason for its collapse is not. Therefore, these alternative fears and grand endings, provide an outlet for that subconscious fear.

Popularly portrayed as Ponzi